Baden-Württemberg elections: Local trumps global

The first state elections of the year in Germany were dominated by local topics and, above all, the two main candidates, but the results could bring new problems for Chancellor Friedrich Merz

According to the polls, the Greens won a close election in Baden-Württemberg and Cem Özdemir is likely to be the next Minister-President

According to the polls, at 8pm CET, the Greens won the elections in Baden-Württemberg and Cem Özdemir will very likely to be the next Minister-President. The Greens came in at 30.4% (slightly lower than at the last elections in 2021), while the CDU gained 29.7% (up from 24.1%). The AfD came in as the third-largest party at 18.6% (up from 9.7%) and the SPD at 5.6% (down from 11%). All other parties failed to clear the 5% threshold. It cannot be entirely excluded that the margin between the Greens and the CDU could still shrink or even reverse in the course of the evening.

Regional elections in Germany can be driven by local topics and candidates, national trends, or sometimes both. The result in Baden-Württemberg appears to have been dominated above all by the race between the two main contenders for the Minister-President job: the Greens' Cem Özdemir and the CDU's Manuel Hagel. While Hagel had held a significant lead until just a few weeks ago, Özdemir performed an impressive late surge. The better-known and more personally popular candidate, he ran a disciplined, pragmatist campaign designed to detoxify the Greens' regulatory image. His bet on consolidating the progressive vote, drawing SPD and Left supporters to back him tactically to block a CDU victory, paid off. Hagel, for his part, gained votes for the CDU but struggled to generate momentum once a controversy over a resurfaced 2018 video, in which he made remarks about underage female pupils, damaged his image as a straightforward, reliable candidate. Some critics had warned that the CDU campaign was too defensive, apparently counting on walking into the state chancellery unopposed.

First analyses suggest that voters' decisions were largely driven by the contest between Özdemir and Hagel rather than by national politics; local, in other words, really did trump global. Also striking is the strong AfD result, which underlines that the party has moved well beyond being an East German phenomenon. In Baden-Württemberg, the AfD's gains are also a reflection of the structural weaknesses of an economy in painful transition: what coal and steel were to the Ruhr Valley, the combustion engine risks becoming to this state. Alongside the AfD result, two other developments stand out. For the first time, the liberal FDP will not be represented in the state parliament, a further sign that the party's national downward trend shows no sign of reversing. And the SPD, junior coalition partner in Berlin, only just scraped over the threshold.

What the elections mean for Friedrich Merz and the government coalition in Berlin

Baden-Württemberg was the first of five important state elections in Germany this year. A CDU win here would have been a significant symbolic signal, confirmation that Merz's government enjoys popular support beyond the Berlin bubble. That signal did not come. Merz can, and will point to regional factors and the particular dynamics of the Özdemir-Hagel contest to deflect responsibility. That argument is not without merit. But the SPD's near-collapse is harder to explain away.

The real problem for Merz does not arrive today, it arrives in two weeks, when Rhineland-Palatinate votes on 22 March. The SPD has governed there continuously since 1991. If it suffers another heavy defeat in its own heartland, existential questions within the party will return with force. A junior coalition partner in an existential crisis is not a stable foundation for a government that still has a long reform agenda to deliver. The coming weeks will test whether Merz's coalition can hold its nerve. The choices narrow: go all-in on reform and force the SPD to either commit or walk, or retreat into managed decline and hope the next election is far enough away. The train is moving. The question is who stays on it.

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THINK Ahead: Energy shock déjà vu, but this isn't 2022

The spike in oil and natural gas prices may seem eerily familiar to the 2022 energy crisis, but the economic backdrop looks very different. From the jobs market to fiscal policy, James Smith explores what has changed over the past four years. Plus our team provides a guide to the week ahead

The Strait of Hormuz is in focus as the Iran conflict raises fears of a 2022‑style energy shock

What's changed since the 2022 energy shock

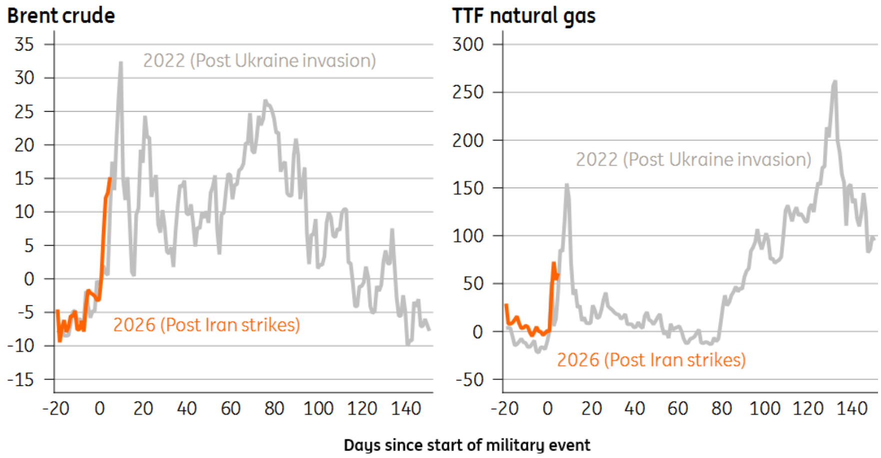
A glance at energy prices and the reaction to the Iran conflict seems eerily familiar to the start of the Ukraine invasion in 2022. Just look at the chart below.

But is 2022 really the right playbook for how this crisis plays out in the global economy? To state the obvious, that is going to heavily depend on how long the conflict lasts – and how long the Strait of Hormuz is de facto closed.

Our new forecasts, released this week, work off the loose assumption that disruption is relatively short-lived. A scenario where supply begins to normalise after four weeks brings energy prices down into the second quarter, and the macro impact is relatively contained.

Eurozone inflation heads briefly to 2.5% in the second quarter and the US and UK to 3%. Enough to delay, but not derail, further Federal Reserve and Bank of England rate cuts. And not enough to move the ECB out of its good place .

Percentage change in energy prices from start of Ukraine/Iran conflict



Source: Macrobond, ING

But let's face it, we're not military experts, and there is no shortage of warnings about this morphing into a much larger supply shock for the global economy. Qatar warned today that it will take some time for energy deliveries to return to normal even if hostilities end immediately. Markets are taking note; an ECB rate hike is fully priced this year. Our commodities team thinks three months of full disruption would take oil above 100 USD/bbl (check out their scenarios further down this article).

There's a lot we don't know, so let's focus on what we do. What is abundantly clear is that the starting point for the global economy looks very different right now from the beginning of the 2022 energy shock. Here are five ways things have changed:

1 The jobs market is much, much cooler

In 2022, the jobs market was still grappling with the fallout of the pandemic. There weren't enough workers to satisfy demand as savings-rich consumers returned to normal life.

Since then, job markets have dramatically cooled. That is abundantly clear from the astonishingly bad February US jobs numbers that are hot off the press, though bad weather probably played a role. Employment outside private healthcare and leisure/hospitality has fallen by 0.7 million workers since the start of 2025.

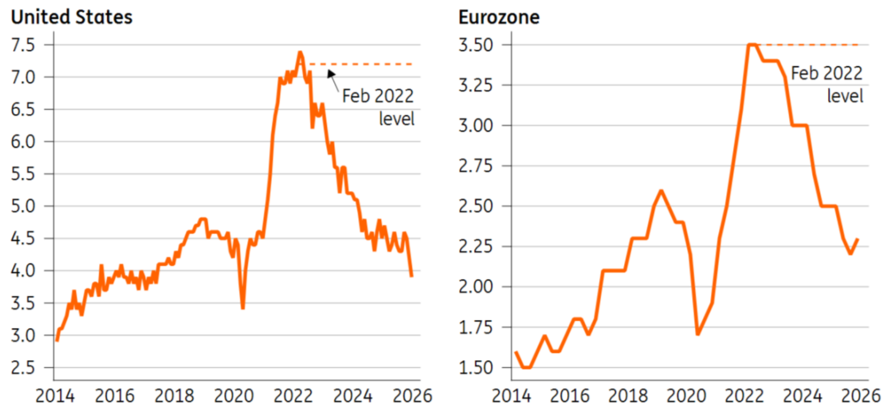
Vacancy rates have collapsed on both sides of the channel. And in the US, so too have the number of workers voluntarily quitting their roles. We'll get new data for both next week.

US wage growth is down from 6% at the time of the Ukraine invasion to below 4%. James Knightley thinks it could fall below 3% this year.

In 2022, the strong jobs market helped protect consumers against the energy crisis – not least in Europe. Faced with higher costs, they were able to move jobs to chase higher pay and protect their disposable incomes.

That is much less true today. And if wage growth is less likely to take off as it did in 2022, that should mitigate the secondary impact of higher energy prices on services inflation – a major focus of central banks when they were hiking interest rates aggressively four years ago.

Job vacancy rates (% of total employees)



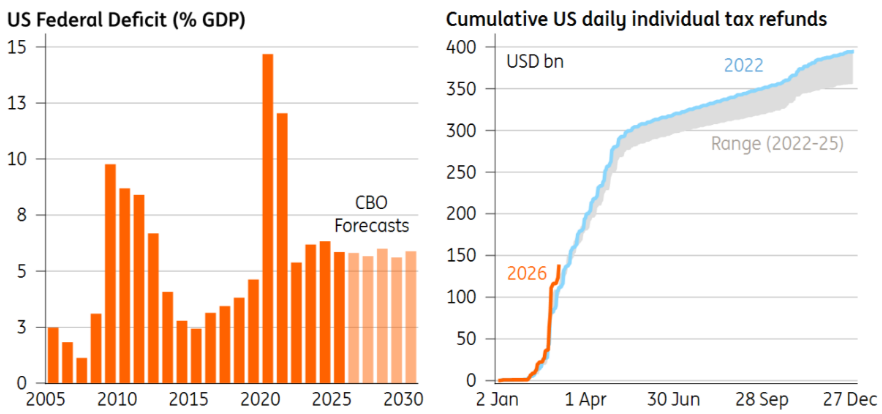
Source: Macrobond, ING

2 US fiscal policy is less of a tailwind

Part of the reason central banks were able to hike rates so aggressively in 2022 was that governments stepped in with vast fiscal stimulus. The US was still riding the tailwind of Covid-era cash handouts, while Europe absorbed much of the energy shock through government borrowing.

In America, that is less true today – though fiscal policy is still relevant. The economy is likely to feel the benefit of last year's tax cuts. Some of those cuts were backdated retrospectively to the start of 2025 and that is starting to show up in refunds. So far, daily data from the Treasury shows refunds are up 25% year-to-date, relative to the average from the past four years.

How the US fiscal backdrop compares to 2022



Source: Macrobond, ING

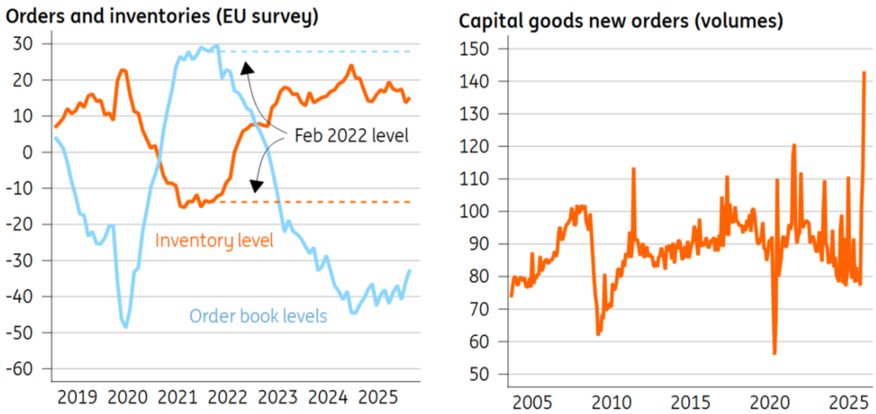
European manufacturing starts the crisis in a weaker place

Staying with the theme of fiscal policy, and there are signs that German stimulus is starting to bear fruit. Last month's new orders data was astonishing, particularly for capital goods. We get new numbers on 9 March. The budget numbers are starting to show the increases in defence spending. And infrastructure investment is generally expected to ramp up gradually in 2026. Importantly, the government is also currently capping energy prices for power-hungry manufacturing.

Our eurozone team expects the fledgling recovery in manufacturing to continue, even if more gradually. And manufacturing enters this crisis in a polar opposite way to where it was in 2022, where orders were high and inventories low.

Elsewhere in Europe, things look more challenging when it comes to government support. Bond yields are much higher today than they were in 2022. The likes of France and the UK will find it harder to impose big energy support packages, akin to those implemented four years ago, without driving up borrowing costs. The same is true of defence spending, which the Iran situation has shone a fresh spotlight upon.

Measures of German industrial performance



Source: Macrobond, ING

Survey data from the European Commission Industrial Confidence survey and is expressed as a net balance of firms

4 Supply chains are much healthier, but tariff uncertainty looms

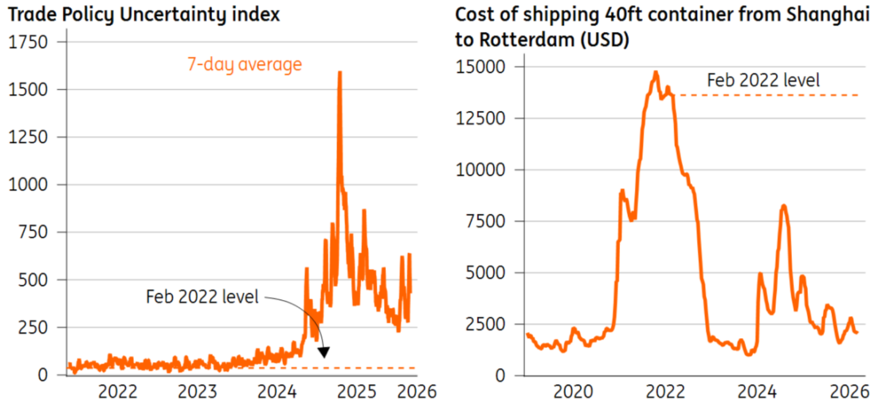
Part of the issue in 2022 was that supply chains were still badly disrupted after Covid. Things look much healthier today; the cost of shipping a container from China to Europe is less than a fifth of what it was at the time of the Ukraine invasion.

The problem, of course, is that we now have tariffs. Curiously, the baseline tariff implemented under Section 122, the replacement for the IEEPA tariffs the Supreme Court ruled illegal, is still at 10% – below the maximum permissible 15%. The US Treasury has said this will rise over the coming days, though it's a slight mystery as to why it hasn't already.

The bigger uncertainty for Europe is not whether it ends up with 10% or 15% tariffs in the short-term, but whether it falls victim to higher tariffs in the longer term following a Section 301 investigation. President Trump's threats to halt trade with Spain are a reminder that the EU is vulnerable to further tariff escalation, particularly given long-running grievances in Washington over Europe's tech taxes and agricultural regulations.

Questions also surround the legality of Section 122 for these interim tariffs. Several states are pushing legal action, arguing that the US isn't facing the balance of payments crisis the powers are designed to address. But given it took almost a year for the Supreme Court to rule on the use of IEEPA, these fresh legal questions aren't going to get addressed rapidly.

Trade policy uncertainty is up even if shipping costs are down since 2022



Source: Macrobond, ING

5 Central bank rates are close to neutral

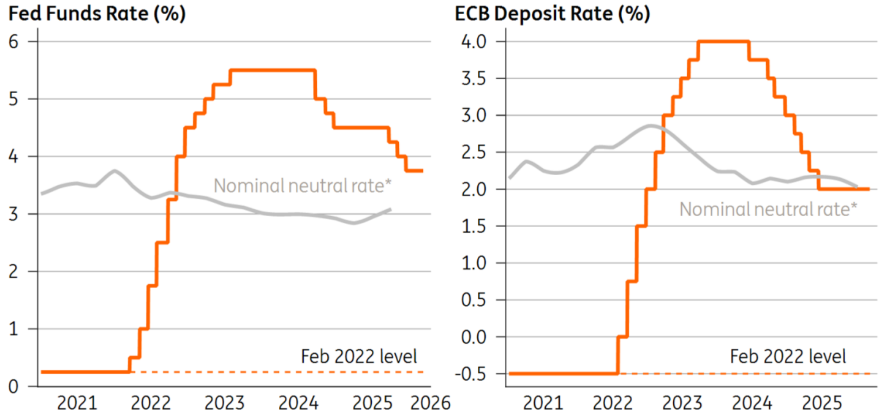
So, where does that leave central banks? Policymakers have spent much of the past few years arguing that they should react to energy price spikes with tighter policy.

It's worth remembering, though, that interest rates are arguably still a tad above neutral in the US and there-or-thereabouts in the eurozone. The same certainly wasn't true in 2022, with rates still at crisis-era lows.

And my bigger point here is this: the 2022 energy crisis landed on a global economy that was ripe for inflation to take off. Supply chains were fractured, job markets tight, and fiscal policy was fuelling the fire. All of that, to varying degrees, is less true today.

We explore more about how high energy prices would need to rise – and how long they'd need to stay elevated – to trigger central bank rate hikes in a live webinar on 10 March. Join us here.

Policy rates started the 2022 crisis at very accommodative levels

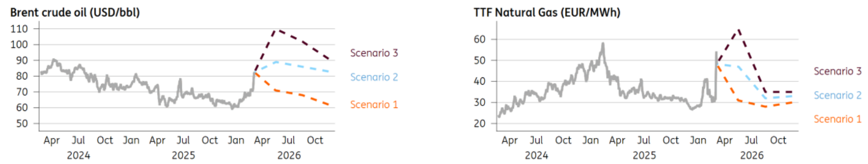


Source: Macrobond, ING

*Based on estimates of the real neutral rate by the New York Fed. For simplicity we've added 2% to make this nominal, though in practice inflation expectations are a little above 2% in both the US and Europe.

Three scenarios for energy prices from ING's Commodity Strategy team

Scenario	Oil supply lost (m barrels)	Brent forecast (USD/bbl) Q1	Q2	Q3	Q4	Gas supply lost (bcm)	TTF forecast (EUR/MWh) Q1	Q2	Q3	Q4
1 Four week disruption (2 weeks full, 2 weeks at 50%)	315	72	71	68	62	6.4	37	31	28	30
2 Three month disruption (1M full, 1M at 50%, 1M at 25%)	806	76	89	86	80	16.5	39	47	32	33
3 Three month disruption (3M full disruption)	1380	76	110	102	91	28	50	65	35	35



Source: Macrobond, ING

THINK Ahead in developed markets

United States (James Knightley)

- Expectations for how far the Fed will cut the policy rate in 2026 have moved from 60bp ahead of the military operations in Iran to 40bp currently. Higher near-term inflation in an environment of economic resilience does indeed make near-term rate cuts look less probable. We have pushed back the timing of when we see the Fed cutting rates from June and September to September and December. While higher energy costs are inflationary, it also puts more pressure on consumer finances and can ultimately be demand destructive, which will push core inflation pressures lower over the medium to longer term.
- **Feb CPI (Wed):** We re above consensus for CPI and that might nudge the market further into pricing out the possibility of rate cuts. Energy prices are the focus right now for markets, but

that will be a March CPI story. Instead, we still see some lingering upward pressure from tariffs on goods prices within the February print. We will also see the January core PCE deflator, which, given the January PPI and CPI reports, points to a 0.4% increase, but this is obviously a month behind next week s CPI data, so it should not be as impactful.

- **4Q GDP revisions (Fri):** Likely to show little change from the initially reported 1.4% annualised print. While consumer spending and business capex were firm, it was the federal government spending side that held growth back due to the six-week-long government shutdown. Also, watch the trade balance. Imports are rising strongly again and this will be a drag on 1Q growth. It also implies more tariff revenues that we still suspect will add to price pressures in the economy.

THINK Ahead in Central and Eastern Europe

Poland (Adam Antoniak)

- **Feb CPI** (Fri): We expect that February inflation was broadly unchanged in February compared to the estimate of January consumer price growth of 2.2%YoY. Annual growth in major price categories was, in our view, similar to January readings. The main uncertainty stems from the annual update of CPI basket weights that may bring a revision of January data and impact on the February reading as well. On top of that, the StatOffice will switch to COICOP2018, adding a level of complexity for forecasters as historical time series are not available.

Hungary (Peter Virovacz)

- **Feb CPI** (Tue): Following the outbreak of war in the Middle East, the potential pro-inflationary impact of the energy price shock is a key talking point. However, today we are here to discuss some positive developments and look at the past. In our view, Hungarian inflation in February shrank further to 1.5% year-on-year. The high base is still having a significant impact, but the monthly repricing was also muted (0.2%), according to our estimates. Food prices remained stable and household energy prices probably fell on a monthly basis. The stability of the HUF in February probably also helped to limit imported inflation. In this regard, we expect core inflation to decrease further, approaching 2.2% YoY. Even without the recent energy price shock, February would have marked the low point of this year s inflation trajectory. The only remaining question is how quickly inflation will accelerate again.

Czech Republic (David Havrlant)

- **Feb CPI & Output** (Tue, Thur): The trade surplus likely improved in January, as the Czech industry has also stabilised on the back of the reviving demand from overseas. The Statistical Office will confirm February's inflation print with both a softening headline and core rate. We assume that industrial output maintained a solid tempo at the start of the year, given the uptick in new orders over the preceding months. Retail sales dynamics likely gained some solid ground in January, driven by more relaxed household budgets due to moderating energy bills.

Turkey (Muhammet Mercan)

- **Rate Decision** (Thur): The uncertainty surrounding oil prices increases risks to the inflation outlook despite the recent government decision to absorb some of the oil price shock via adjusting tax on gasoline prices. In this environment, to support demand for TRY, the central bank suspended one-week repo auctions and allowed the ON rate to move higher to the upper band of the corridor. Accordingly, we expect the CBT to be cautious and not to change the policy rate in the March MPC.

Key events in developed markets next week

Country	Time	Data/event	ING	Prev.
		Monday 9 March		
Germany	0700	Jan Industrial Output (MoM%)	1.5	-1.9
		Tuesday 10 March		
US	1400	Feb Existing Home Sales (mn)	3.9	3.9
Germany	0700	Jan Exports (MoM%)	-1	4
	0700	Jan Imports (MoM%)	-1	1.4
	0700	Jan Trade Balance (EUR bn)	-	17.1
France	0745	Jan Trade Balance (EUR bn)	-	-4.8
Netherlands	0530	Feb CPI NSA (MoM%/YoY%)	-	-0.7/2.4
	0530	Jan Manufacturing Output (MoM%)	-	0.5
Greece	1000	Jan Industrial Output (YoY%)	-	3.9
	1000	Feb CPI (YoY%)	-	2.5
		Wednesday 11 March		
US	1230	Feb Core CPI (MoM%/YoY%)	0.3/2.6	0.3/2.5
	1230	Feb CPI (MoM%/YoY%)	0.3/2.5	0.2/2.4
Germany	0700	Feb CPI Final (MoM%/YoY%)	0.2/1.9	0.2/1.9
Spain	0800	Jan Retail Sales (YoY%)	-	2.9
		Thursday 12 March		
US	1230	Jan Balance of Trade (USD bn)	-80	-70.3
	1330	Initial Jobless Claims (000s)	215	213
Sweden	0700	Feb CPI Final (MoM%/YoY%)	-/-	0.1/0.5
	0700	Feb CPIF FInal (MoM%/YoY%)	-/-	0.3/2.0
		Friday 13 March		
US	1230	Jan Personal Income (MoM%)	0.4	0.3
	1230	Jan Personal Consumption Real (MoM%)	0.2	0.1
	1230	Jan Consumption, Adjusted (MoM%)	0.3	0.4
	1230	Jan Core PCE Price Index (MoM%)	0.4	0.4
	1230	Jan Durable Goods	2	-1.4
	1230	Q3 GDP 2nd Estimate	1.4	4.4
	1230	Q3 Core PCE Prices Prelim	2.7	2.9
	1400	Mar Michigan Sentiment Flash	57.5	56.6
Eurozone	1000	Jan Industrial Production (MoM%/YoY%)	-/-	-1.4/1.2
UK	0700	Jan GDP Estimate (MoM%/YoY%)	0.2/1.0	0.1/0.7
Italy	0900	Jan Industrial Output (MoM%/YoY%)	-/-	-0.4/3.2
Spain	0800	Feb CPI NSA (MoM%/YoY%)	-/-	0.4/2.3
Canada	1230	Feb Unemployment Rate	6.6	6.5
Sweden	0700	Feb Unemployment Rate	-	8.6

Source: Refinitiv, ING

Key events in EMEA next week

Country	Time (BST)	Data/event	ING	Prev.
		Monday 9 March		
Czech Rep	0800	Jan Trade Balance (CZK bn)	28.8	14.8
	0900	Feb Unemployment Rate	-	5.1
Hungary	1000	Feb Budget Balance (HUF bn, monthly)	-1800	32.3
		Tuesday 10 March		
Turkey	0700	Jan Industrial Production (MoM%/YoY%)	-/-	1.2/-2.1
Czech Rep	0800	Feb CPI (MoM%/YoY%)	-0.1/1.4	0.9/1.6
	0900	Share of Unemployed (%, registered)	5.1	5.1
Hungary	0730	Feb Core CPI (YoY%)	2.2	2.7
	0730	Feb CPI (MoM%/YoY%)	0.2/1.5	0.3/2.1
Ukraine	1330	Feb CPI (MoM%/YoY%)	-/-	0.7/7.4
		Wednesday 11 March		
Turkey	0700	Jan Retail Sales (YoY%)	-	16.3
		Thursday 12 March		
Turkey	0700	Jan Current Account Balance (USD bn)	-5.4	-7.3
	1100	Mar CBT Weekly Repo Rate	37.00	37.00
	1100	Mar Overnight Lending Rate	40.00	40.00
	1100	Mar Overnight Borrowing Rate	35.50	35.50
Czech Rep	0800	Jan Industrial Output (YoY%, WDSA)	4.1	4.0
	0800	Jan Retail Sales (YoY%, WDSA)	3.2	2.2
Serbia	1100	Feb CPI (MoM%/YoY%)	0.6/2.5	0.3/2.4
	1100	Mar Benchmark Interest rate	5.75	5.75
		Friday 13 March		
Russia	1600	Feb CPI (MoM%/YoY%)	0.5/5.7	1.6/6.0
Poland	0900	Feb CPI (MoM%/YoY%)	0.3/2.2	0.6/2.2
Romania	0700	Feb CPI (YoY%)	0.5/9.2	0.8/9.6
Kazakhstan	-	Feb GDP (YoY%)	-	-2.8

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Middle East escalation could push aluminium above $4,000/t

We have revised our aluminium price forecasts higher as rising conflict in the Middle East introduces fresh upside risks to an already tightening market

Disruptions to Gulf exports could tighten an aluminium market already in deficit

Escalating geopolitical risks could have far-reaching implications for global commodity markets beyond oil and gas, with aluminium particularly exposed given the concentration of export-oriented smelting capacity in the Gulf and the reliance on shipping routes through the Strait of Hormuz.

Key takeaways:

- Rising tensions in the Middle East have introduced fresh upside risks to aluminium markets, which were already expected to remain in deficit this year, prompting us to revise our aluminium price forecasts higher.
- While oil and LNG markets are most directly exposed to disruptions in the Strait of Hormuz, aluminium is likely to be one of the most affected industrial commodities due to the concentration of export-oriented smelting capacity in the Gulf.

- In a severe disruption scenario, aluminium prices could briefly move above $4,000/t, although demand destruction would likely limit further upside.

Middle East conflict raises aluminium supply risks

Rising conflict in the Middle East is introducing new upside risks to aluminium markets, which were already structurally tight. We had previously expected the market to tighten this year with China's capacity cap, trade dislocations and the imminent shutdown of South 32's Mozal already tightening supply. The potential for escalation now introduces further upside risks to this outlook, prompting us to revise our aluminium price forecasts higher.

The Strait of Hormuz is a critical shipping route not only for global oil and LNG flows but also for industrial metals, with a large share of Gulf aluminium exports passing through the corridor. Any disruption to regional shipping would tighten global aluminium availability quickly in a market that is already in deficit.

While oil and LNG markets are the most directly exposed to disruptions in the Strait of Hormuz, aluminium is likely to be among the most affected industrial commodities. The Gulf accounts for roughly 9% of global aluminium production and an even larger share of internationally traded metal. Yet the region produces only around 3% of global alumina and around 1% of bauxite, leaving smelters heavily reliant on imported raw materials. Alumina's limited storability further reduces resilience. While smelters typically hold around three to four weeks of alumina inventories – allowing them to absorb short disruptions – prolonged constraints would quickly translate into production risk.

Extended disruption in the Strait would simultaneously choke alumina inflows and aluminium exports for Middle Eastern smelters. That would tighten global supply meaningfully.

Iran itself produces roughly 0.55-0.60Mt of aluminium annually, but its direct impact on global supply is limited as much of this production is consumed domestically and sanctions restrict international trade flows. The greater market risk stems from potential disruptions to Gulf aluminium exports, and alumina and bauxite imports, passing through the Strait of Hormuz.

Regional exposure to Gulf aluminium exports

Gulf producers are among the largest suppliers of primary aluminium to the global seaborne market, accounting for a significant share of internationally traded metal.

The Gulf produces around 6-6.5Mt of primary aluminium per year, with roughly 5-5.5Mt of exports reliant on shipping routes through the Strait of Hormuz, highlighting the potential impact that disruptions to regional trade flows could have on global aluminium markets.

Not all aluminium exports transit Hormuz – most notably Oman, which ships directly to the Indian Ocean – but a large share of Gulf aluminium trade still depends on the strait or nearby regional routes. Alternative logistics options are limited. Ma'aden could, in theory, truck material to Red Sea ports, but this would be significantly more time consuming and costly.

Aluminium production in the Gulf

Producer	Country	Share of Gulf capacity (%)	Hormuz exposure
EGA	UAE	c.44	Very high
Alba	Bahrain	c.27	Very high
Ma'aden Aluminium	Saudi Arabia	c.12	High
Qatalum	Qatar	c.10	Very high
Sohar Aluminium	Oman	c.6	Low

Source: Company reports, ING Research estimates

Europe is particularly exposed, relying heavily on imports following the decline of domestic smelting capacity. The Middle East accounts for around 30% of its aluminium imports, dominated by the UAE, leaving European premiums especially sensitive given already tight primary availability. Europe's exposure has increased further since the sharp reduction in Russian aluminium flows to Western markets after the invasion of Ukraine.

The US is also exposed, with the region supplying over 20% of imports, though tariff inflated Midwest premiums limit immediate upside.

Recent developments are already affecting aluminium supply chains. Qatalum has begun a controlled shutdown of production following regional tensions, representing a direct loss of supply to the market. At the same time, Alba has declared force majeure on deliveries due to logistics disruptions.

Our three scenarios for aluminium supply disruptions

While the evolution of the Middle East conflict remains highly uncertain, we outline three scenarios assessing how disruptions to Gulf aluminium supply could affect the global market, in line with our energy flows scenarios. Based on these scenarios, we revise our aluminium price outlook higher and assess the resulting market balances and price outcomes under varying degrees of disruption.

In **Scenario 1**, which we consider our base case, we assume a relatively short disruption to regional shipping lasting around four weeks. Exports from Gulf producers are temporarily delayed and some metal accumulates on site, particularly at Alba where deliveries have already been affected. At the same time, the disruption at Qatalum represents a genuine supply shock as production recovers only gradually following a controlled shutdown.

In **Scenario 2**, disruptions persist for longer, with shipping constraints lasting several months. This would further tighten the seaborne aluminium market as export flows from the Gulf remain constrained. In this scenario, we also assume the risk of minor production curtailments across Gulf smelters if logistics disruptions persist and raw material deliveries begin to tighten.

Scenario 3 represents a more severe disruption to shipping through the Strait of Hormuz lasting around three months. In this case, a combination of lost production, stranded metal and broader logistics disruptions could significantly tighten global aluminium availability. At these levels of tightening, prices could briefly move above $4,000/t before demand destruction begins to limit further upside. Prices therefore retrace from peak levels later in the year, although the underlying deficit keeps aluminium well above pre-conflict baseline levels.

Aluminium market balance and price scenarios

Scenario	Structural market balance	Q1 ($/t)	Q2 ($/t)	Q3 ($/t)	Q4 ($/t)
Forecasts prior to attacks	c.600kt deficit	3,150	3,200	3,200	3,250
Scenario 1 (base case): Short disruption	**c.900kt deficit**	**3,200**	**3,400**	**3,350**	**3,400**
Scenario 2: Prolonged disruption	c.900-950kt deficit	3,250	3,650	3,700	3,650
Scenario 3: Severe disruption	c.1.2-1.35Mt deficit	3,300	4,200	4,050	3,900

Source: ING Research estimates

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Disclaimer

Weather and strikes weigh on February US jobs

January jobs numbers probably overstated the strength in hiring, while bad weather and strike actions probably mean that the February numbers overstate the weakness. Nonetheless, hiring remains subdued, and higher energy costs will squeeze spending power, leaving the door open for Fed rates cuts. But that will be a late second half of the year story

The February jobs numbers were weaker than expected. With inflation expected to remain elevated, this likely pushes out any Federal Reserve rate cuts

-92,000 jobs lost in February

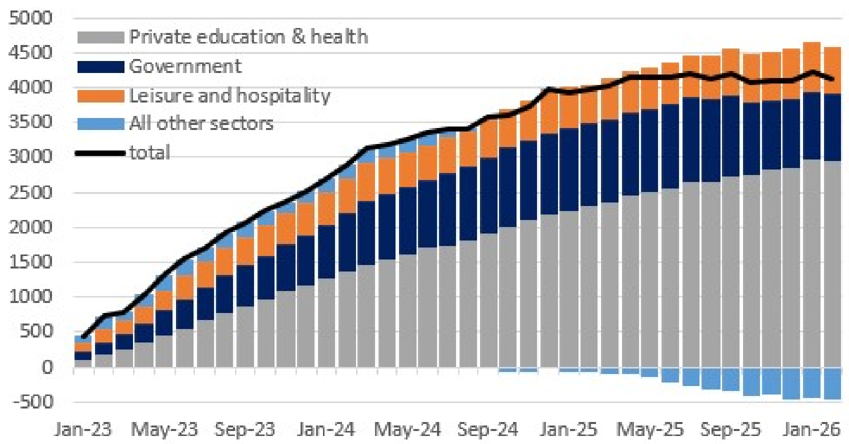
Jobs shrink, unemployment rises, spending falls

US non-Farm payrolls **FELL** 92k in February versus the +55k consensus and there were a net 69k downward revisions to the previous two months (January 2026 and December 2025). The unemployment rate has risen to 4.4% from 4.3% while January retail sales fell 0.2% month-on-month versus the 0.3% drop that was expected. This is clearly not a good set of numbers, but the weather almost certainly played a significant role here.

The week the data for January was collected was relatively warm in what was a very cold month and that helped boost construction numbers as sites remained open (+48k). In contrast, February was filled with winter storms, impacting construction the other way and hurting leisure and hospitality as people stayed in the warm at home. There was also strike activity and that contributed to physicians' offices subtracting 37k from the total. The details show construction falling 11k, manufacturing down 12k, leisure and hospitality down 27k. Conversely, financial services rose 10k and retail jobs increased 2k.

The +126k payrolls number for January probably overstated the strength in the jobs market and today s February data probably overstates the weakness due to the weather and strikes. Nonetheless, we know hiring is weak, but lay-offs remain low too. Essentially, the jobs market is just treading water with payrolls trending at around 50k per month. The job concentration risk point still holds though. Three sectors (government, leisure & hospitality and private education & healthcare services) are still responsible for all job creation over the past three years. All other sectors combined (essentially the bulk of the US economy) have lost 460k jobs since December 2022.

Cumulative job increases since December 2022



Soucre: Macrobond, ING

Rate cuts delayed on near-term inflation

We know that there are more unemployed Americans than there are job vacancies and this is now depressing wage growth. Average earnings did rise 3.8% year-on-year in today's report, but that is likely due to lower wage workers not being able to get to work and not being reported and skewing the reported earnings in favour of higher-earning office workers who could work from home. The broader measure of wage growth within the employment cost index risks dropping below 3% YoY and we already know that real household disposable incomes are flat lining. The surge in energy costs, particularly for gasoline, that we expect over the next few weeks in response to global market moves, means that we could see real disposable incomes turning negative. That risks creating an intensifying headwind for growth in the second half of the year.

While higher energy costs are inflationary and make near-term rate cuts look less probable, it also puts more pressure on consumer finances and can ultimately be demand destructive. This can push core inflation pressures lower over the medium to longer term. Therefore, we argue the story is one where rate cuts are delayed rather than removed from forecasts. We have pushed our Fed rate cut forecasts from June and September to September and December.

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Unpacking China’s Two Sessions: takeaways for 2026 and beyond

China s 2026 GDP growth target was lowered to 4.5-5%, after three straight years of "around 5%" targets. Most other targets were left unchanged. The slight softening shows that growth stability remains important, but steady fiscal targets are also signalling a reluctance to lean too heavily on fresh stimulus to bolster growth

4.5-5.0% YoY China's 2026 GDP growth target

GDP growth target lowered for 2026

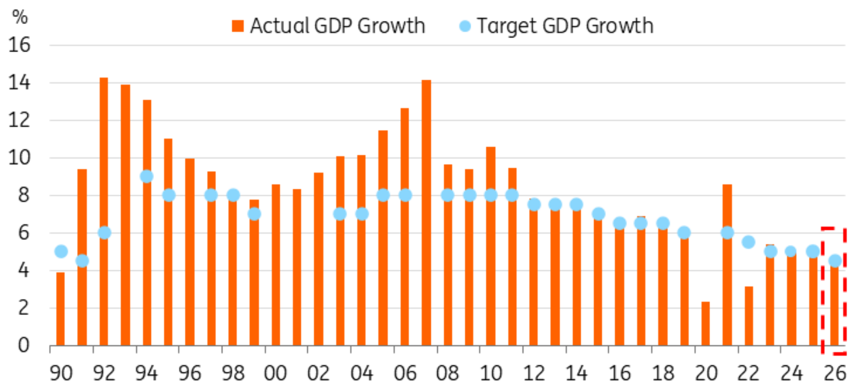
China s annual target-setting is always an important event. Since GDP growth targets were first published in 1990, China has fallen short of the target only a couple of times. Generally, betting on China to miss its target has been a losing bet for forecasters.

This year s GDP growth target was reduced to 4.5-5.0%, a slight softening from the more ambiguous "around 5%" target set in the past three years. While it was debatable how much flexibility "around 5%" entailed, most market participants viewed this as within 0.2-0.3pp of 5%. With the new target, there appears to be a tolerance for slower growth, which should give policymakers more flexibility to pursue quality growth, a priority in recent years. Combined with China s anti-involution drive, there will be a focus on reducing wasteful and duplicative investment while improving synergies and building on China s long-term strategic direction. As the 15th Five-Year Plan has laid out, the key focuses are on improving industrial modernisation, improving technological self-reliance, and ramping up domestic demand.

With that said, the 4.5% threshold represents only a rather limited slowdown; China s longer-term growth ambitions remain unchanged. The government work report outlined an intention for "laying a solid foundation for doubling per capita GDP by 2035 compared to 2020," a key goal set by President Xi in the past.

The softer GDP target was in line with our expectations, as we had hints of this outcome earlier when various provinces also revised growth targets lower. Our GDP forecast for the year is 4.6% year-on-year, which would fall within this range.

China rarely falls short of its growth target



Sources: CEIC, ING

Other key targets mostly stable for 2026

There was little surprise in the other targets as well.

The inflation target, having been reduced to "around 2%" last year, remained unchanged. We expect inflation to rise this year to around 1% YoY, with the recent events in the Middle East potentially adding to upside risk on this number if supply disruptions persist. The inflation target has historically not been prioritised as aggressively as the GDP target, and the final level often deviates significantly from the target. As such, we don t expect this to play a significant role in monetary policy decision-making, where we still see a case for further easing this year.

The employment target for new urban employment has been set at "around 12 million" since 2023, while the urban unemployment target was set at "around 5.5%" since 2021, and both targets have remained unchanged. There will likely be continued focus on improving employment conditions for youth, who have suffered a disproportionately high unemployment rate in recent years amid more cautious hiring.

The fiscal targets were arguably the only area where there was a more lively debate on whether or not we d see adjustments. While the fiscal deficit-to-GDP target of around 4% was expected to remain the same, it was unclear whether we d see a small uptick in the bond issuance targets. This hasn't turned out to be the case, with another RMB 4.4tn of special local government bond issuance and RMB 1.3tn of ultra-long-term bond issuance targeted this year. The report also noted that the central government will ramp up fiscal transfers to the local government.

In our view, this suggests that while growth stability remains an important objective, the stable fiscal deficit and bond issuance targets indicate a degree of restraint, avoiding relying too much on extra stimulus to drive growth at the cost of growth quality. This may disappoint some watchers who had hoped for a stronger fiscal stimulus push. We believe there is still hope that the impact of fiscal policy could improve this year, with potentially more money available to go into the real economy rather than being used to bring off-balance-sheet debt onto the books. The government previously signalled its intent to stabilise investment growth in 2026 after 2025 saw a record low for fixed asset investment growth.

Growth target softened but other key targets left unchanged

	2023	2024	2025	2026
GDP (% YoY)	Around 5%	Around 5%	Around 5%	**4.5-5.0%**
Inflation (% YoY)	Around 3%	Around 3%	Around 2%	**Around 2%**
New urban employment	Around 12 mn	Around 12 mn	Around 12 mn	**Around 12 mn**
Urban Unemployment Rate (%)	Around 5.5%	Around 5.5%	Around 5.5%	**Around 5.5%**
Fiscal deficit (% of GDP)	3%	3%	Around 4%	**Around 4%**
Special local government bond issuance (RMB)	3.8 tn	3.9 tn	4.4 tn	**4.4 tn**
Ultra-long term bond issuance (RMB)	NA	1 tn	1.3 tn	**1.3 tn**
Fiscal Policy Stance	"Adhere to proactive fiscal policy"	"Moderately strengthen proactive fiscal policy"	"Implement a more proactive fiscal policy"	**"Implement a more proactive fiscal policy"**
Monetary Policy Stance	"Adhere to prudent monetary policy"	"Prudent monetary policy"	"Implement a moderately loose monetary policy"	**"Implement a moderately loose monetary policy"**

Sources: Various media sources, ING

The key focus this year will be on boosting domestic demand

The government work report also laid out the key objectives for the government in 2026.

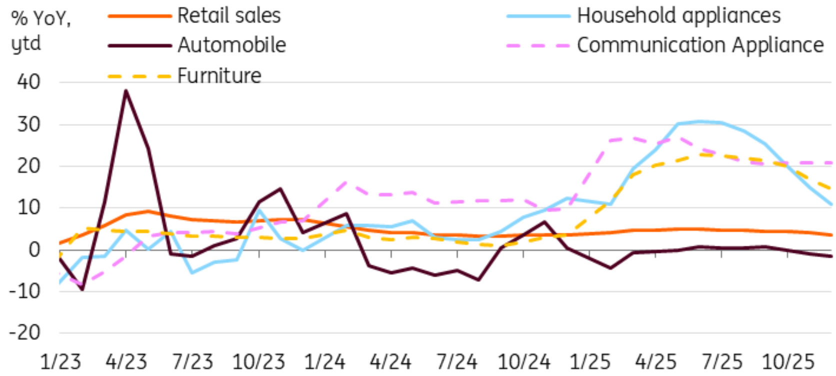
In pole position is focusing on building a strong domestic market and boosting domestic demand. This sentiment has been repeatedly featured in past high-level meetings, and the government work report mentioned "special action to boost consumption" this year.

- Trade-in policy scale pared down from RMB 300bn in 2025 to RMB 250bn in 2026. One of China s flagship policies to boost consumption has been the trade-in policy, which has been successful in bolstering beneficiary categories in the past few years. However, the peak of the impact has passed, and it looks likely to move from tailwind to headwind this year.
- Continued support for consumer credit: a RMB 100bn fund for promoting domestic demand will be established, aiming at facilitating loan interest subsidies and financing guarantees.
- Investment will be funnelled into strategic priorities, while continuing to crack down on inefficient investment. RMB 7565bn of central government budgetary investment and RMB 800bn of ultra-long-term bonds will be allocated for projects to further the key national

strategies and build out national security objectives.
- Our bold call for China in 2026 could be coming to fruition as well. The government work report mentioned supporting eligible regions in promoting spring and autumn breaks for primary and secondary schools and implementing a paid staggered-leave system for employees. Staggering holidays could help bolster domestic tourism, which suffers from heavy overcrowding during national holidays, and help smooth overall consumption. We expect progress on this front to be incremental, but it is a positive sign nonetheless, as it is relatively low-hanging fruit.

Other than domestic demand, policymakers continue to prioritise creating new growth drivers through innovation and securing technological self-reliance. Key tech sectors such as AI, semiconductors, and cloud computing will likely continue to benefit from outsized investment.

Trade-in policy tailwinds could reverse in 2026 as scale is reduced



Sources: CEIC, ING

The next steps in China's "high-level opening up"

China has come under increasing pressure from abroad, as its trade surplus surged to nearly USD 1.2tn in 2025. In order to address these issues, there was mention of actively expanding imports to promote a more balanced trade development, as well as aiming to sign more bilateral trade and investment agreements. The stronger CNY thus far this year could help contribute to this process.

China continues to open up aspects of its economy. In 2026, the focus includes expanding market access for the services industries, where a pilot zone for the services sector opening up will be established. The government work report signals further opening up telecom, biotech, and healthcare sectors. There will also be pilot programmes to open up the digital sector. In order to continue to attract foreign investment, China will aim to guarantee national treatment for foreign investments and promote two-way investments.

China's Five-Year Plan locks in on four strategic priorities for the rest of the decade

China s Five-Year Plans often give insight into the longer-term priorities and can be seen as setting the framework for future policy direction.

For the current Five-Year Period of 2026-2030, the government work report highlights four strategic priorities:

1. Promote high-quality development: a focus on quality continues to emphasise scientific and technological innovation, building a modern industrial system focused on advanced manufacturing and green development. The plan targets the digital economy to reach 12.5% of GDP, and for R&D expenditure to grow by 7% per year over the current five-year period.
2. Strengthening the domestic economy: amid external uncertainties, strengthening domestic demand is of high importance. The plan calls for significantly boosting consumption, eliminating local protectionism, and investing in improving the goods and services sectors.
3. Promote common prosperity: encourage fertility and address population ageing, improve education, elderly care, promote quality employment, improve income distribution, and strengthen the social security system.
4. Coordinate development and security: targeting various aspects of national security, such as food security, energy security, and resolving key risks, such as the property market and local government debt.

What does this mean for China s economy? The trends we have seen in the past few years are likely to continue, with an increased focus on moving up the supply chain and improving tech self-reliance. The big question mark will be how successful China is in boosting its domestic demand, as domestic confidence remains tepid and continues to restrain this effort.

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Credit – 2022 all over again?

Risk-off in credit gets amplified as credit begins to sell off on the back of the escalations in the Middle East. We note many similarities between this and the Russia-Ukraine war breaking out in February 2022. But is the credit reaction really that similar?

We see the current sell-off as more orderly than in February 2022. We think we will eventually see value in credit

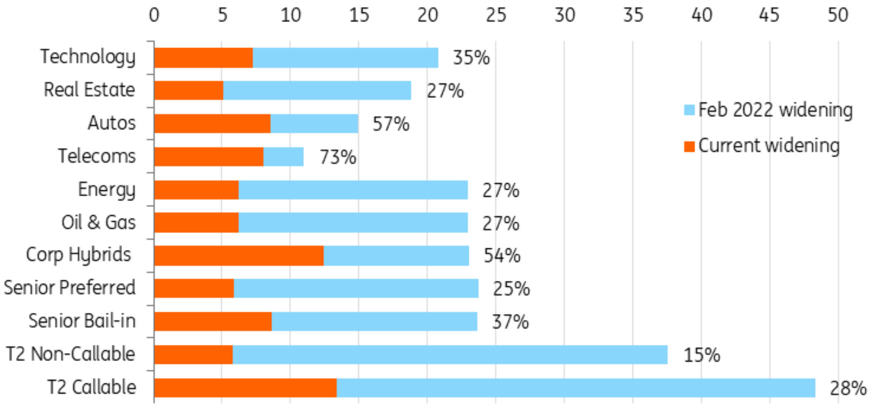
We note many similarities between this and the Russia-Ukraine war breaking out in February 2022. However, this time around the sell-off is so far less severe and is certainly more orderly.

As such, a similar reaction in credit in the coming weeks is likely. But the sector differences thus far are certainly evident. We break down the reaction we saw last time per sector and compare that to the initial reaction we are seeing now.

In addition, as reported by our rates strategist in the latest Rates Spark Day two and the pendulum swings again, the carry trades can suffer in a more volatile environment. "The possibility of ECB rate hikes poses a serious risk to carry trades and could trigger a significant widening of eurozone government bond (EGB) spreads". The same risks are certainly very prevalent in credit, which will drop a notable amount of demand from the market.

Sectors such as Banks, Retail, Travel, Real Estate, Consumers, Energy and Oil & Gas are all outperforming this time around with relatively less widening thus far compared to February 2022. On the other hand, Telecoms, Autos, Healthcare and Consumer goods are seeing relatively significant widening.

Spread widening now (4 trading days) vs February 2022 (12 trading days)



Source: Macrobond, ING

In February 2022, curves went much flatter initially as the short end was under a lot of pressure with about 15-22bp widening, whereas now we are seeing a continuation of long-end underperformance and steeper credit curves.

The table below looks at the total widening seen per sector in the initial 12 trading days of February 2022 when spreads peaked before starting to retrace. Alongside that is the widening we have seen in these initial four trading days and how much widening has been pencilled in per sector versus February 2022 as a percentage.

Spread Developments February 2022 vs Current

	Feb 2022 widening (12 trading days)	Current widening (4 trading days)	% widening complete
Non-Financials	16	7	41%
Corp Hybrids	23	12	54%
Automobiles & Parts	15	9	57%
Consumer Goods	15	8	52%
Consumer Services	26	6	22%
Food & Beverage	16	8	49%
Personal & Household Goods	14	8	57%
Retail	51	7	13%
Travel & Leisure	26	6	22%
Health Care	12	7	55%
Real Estate	19	5	27%
Telecommunications	11	8	73%
Media	14	5	39%
Technology	21	7	35%
Energy	23	6	27%
Utilities	18	5	29%
Oil & Gas	23	6	27%
Basic Resources	39	5	14%
Basic Materials	22	7	30%
Chemicals	18	7	40%
Construction & Materials	24	8	31%
Industrial Goods & Services	13	7	51%
Industrials	14	7	47%
Financials	24	8	33%
Banks Senior	24	8	33%
EUR Banks Senior Preferred	24	6	25%
EUR Banks Senior Bail-in	24	9	37%
EUR Banks Tier 2	43	12	29%
EUR Banks Tier 2 non-callable	38	6	15%
EUR Banks Tier 2 callable	48	13	28%
EUR AT1	152	37	25%
Financial Services	17	7	45%
Insurance Senior	19	10	54%
Insurance Subordinated	43	14	32%

Source: Macrobond, ING

Telecoms (73%), Personal & Household goods (57%), Autos (57%), Healthcare (55%) and Consumer goods (52%) have seen relatively more widening versus February 2022, and thus could enter the value zone for buying opportunities quicker.

On the other hand, Basic Resources (14%), Retail (13%), Travel & Leisure (22%), Real Estate (27%), Consumer services (22%) and Basic Materials (30%) are outperforming currently, and may be areas to position within for the time being.

The energy sector is an interesting one as Energy, Utilities and Oil & gas names are all outperforming versus last time, with just 27-29% of widening relatively.

Financials were overall worse off in February 2022, meaning the more uniform widening seen this time around leaves the percentage of widening at just 33%. Within banks, it s been bail-in senior that's widened more, with 37% of the previous widening pencilled in. Meanwhile, the senior preferred segment has only widened by 25%.

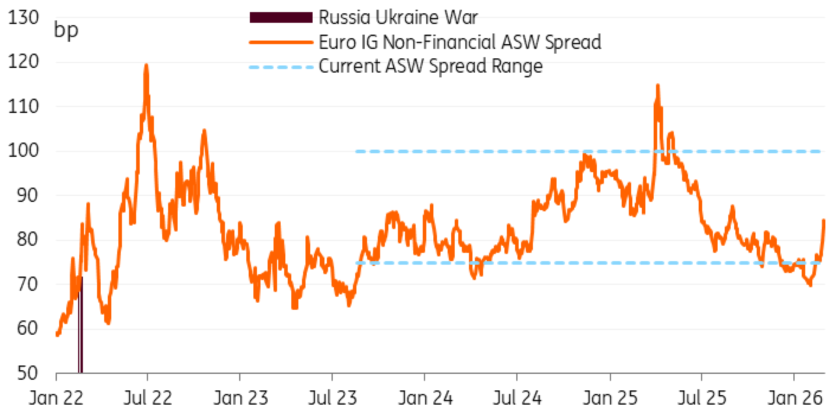
Subordinated bank bonds see a mixed bag, with non-callable T2 bonds outperforming with only 15% widening after just 6bp widening over the past four sessions. Callable, on the other hand, is up at 28%, whilst AT1 has seen 37bp widening thus far. This is only 25% of the widening seen in February 2022, as the product holds firmer. Corporate hybrids, on the other hand, with the 12bp widening thus far accounted for 54% of the widening seen in February 2022.

Back in February 2022, during the beginning of the Russia-Ukraine war, we saw spreads initially move around 9-10bp in the first week and peaked at 16bp wider for non-financials and 24bp wider for financials after 12 trading sessions.

Thus far, this time around (within the first four trading days) we have seen widening of 7-8bp on the non-financial and financials indices. This accounts for 41% of potential widening for non-financials. Given that it's been a somewhat uniform widening, it does leave some potential for more underperformance in certain sectors. Financials were overall worse off in February 2022, meaning the more uniform widening seen this time around leaves the percentage of widening at just 33%.

If we see a similar move over the next couple of weeks that we saw back in February 2022, we are likely to remain in the range we have outlined but now once again on the wider range, at which point credit begins to look attractive.

Spread developments and trading range (non-financial)



Source: Macrobond, ING

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Article | 4 March 2026

Webinar: Central banks, energy prices and the rate hike dilemma

Join ING's economists and strategists on 10 March for a live 45-minute webinar, as they discuss how higher energy prices are reshaping the interest rate outlook and what it all means for FX markets. Sign-up here

Webinar details

Higher energy prices could hardly come at a more pivotal time for central banks. With inflation risks now growing and the March Fed, ECB and Bank of England meetings looming, rate cuts risk being curtailed, and talk of rate hikes will inevitably grow.

Join ING's economists and strategists for a live 45-minute webinar as they discuss how higher energy prices are reshaping the interest rate outlook for the rest of 2026 and what it all means for FX markets. Sign up here.

You'll discover:

- How high energy prices would need to rise – and how long they'd need to stay elevated – to trigger central bank rate hikes.

- ING's expectations for the March central bank meetings.
- Potential interest rate scenarios for the rest of 2026.
- What higher energy prices mean for EUR/USD and broader FX markets.

Details:

When: Tuesday 10 March

Venue: Online via ING webinars

Time: GMT: 14:00, CET: 15:00, ET: 09:00

Speakers:

- Carsten Brzeski (Global Head of Macro Research)
- James Knightley (Chief International Economist
- James Smith (Developed Markets Economist)
- Chris Turner (Global Head of Markets and Regional Head of Research for UK & CEE)

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Middle East conflict: a blow for airlines on the East-West corridor

The conflict in the Middle East has already led to more than 10,000 flight cancellations, leaving large numbers of passengers stranded and causing major disruption across global travel networks. For airlines, the financial and operational impact is significant

The conflict in the Middle East has already led to more than 10,000 flight cancellations

Intercontinental carriers in the eye of the storm

The outbreak of war in the Middle East on 28 February triggered an immediate wave of flight cancellations across the region. Beyond disrupting travel, it has further complicated intercontinental airspace at a time when geopolitical routing constraints were already high. Over the past decade, the Middle East has become increasingly important for global aviation, with rapidly developed hubs in Abu Dhabi, Doha and Dubai – now the world's busiest international airport – sitting at the heart of East West traffic corridors. As a result, the war affects not only travel to and from the Middle East but also key connecting routes to India, Southeast Asia, Australia and Europe.

Financially, the biggest hit falls on intercontinental carriers operating in the region and Middle Eastern airlines in particular, while US carriers are less affected. Still, most airlines – especially those without fuel hedges – will feel the impact too. This was reflected in the initial stock price reactions on 2 March, and will weigh on first-quarter and potentially second-quarter results.

1 Cancellations come with inefficiencies, extra costs and missed revenue

Large airlines with home bases in hubs in the region, including Emirates, Etihad and Qatar Airways, are involved in the mass cancellations, but European and Asian carriers with intercontinental networks have seen a significant impact on operations as well. Major carriers such as Air France, KLM and Lufthansa have suspended flights to the region for at least most of the week. And the operational impact will likely drag on in the weeks to come. When we compare this with the usually shorter disruptions from severe winter weather or strikes, we know this disorder will weigh heavily on financial results in the first quarter.

2 Airlines are now seeing an even more complicated airspace

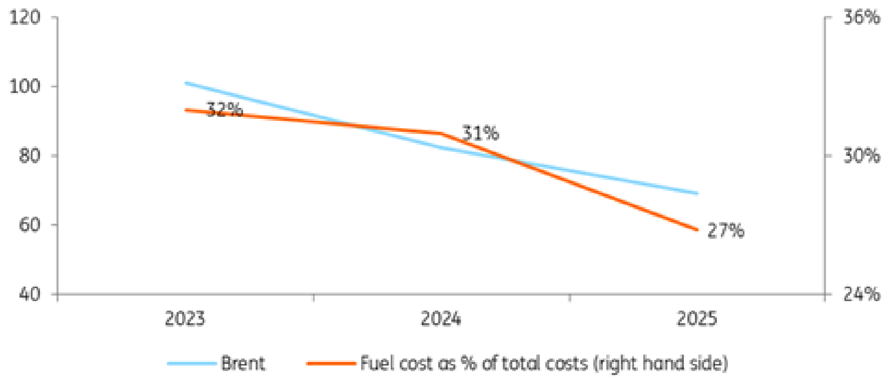
Airlines already operate within a highly sensitive geopolitical landscape, and today's airspace reality is increasingly complex. With Russian airspace closed and multiple Middle Eastern routes now suspended, carriers must navigate a patchwork of restrictions, safety rules and elevated operational risks – making long haul routing more complicated than ever, with rerouted flights and detours. It s still possible to connect East and West, but it could come with longer mileages, flight durations, higher fuel burn and costs.

3 Higher fuel costs will push expenses up – but the impact will vary as hedges soften the blow

Airline fuel costs can account for 20-30% of total airline operating costs, especially for long-haul carriers. When jet fuel prices go up, this quickly leads to higher costs. Jet fuel prices are much more connected to oil price development than fuel prices at the motorway gas station because there are no excise duties available, and most international tickets are also exempted from VAT. Higher fuel prices could quickly lower tight margins in the short run for tickets booked and sold, and airlines will need to adjust their ticket prices to keep revenues up. At the start of the year, oil prices hovered around $60 a barrel, and at the start of March, they were $80. We expect oil prices to come down later on this year, but this depends on the evolving conflict.

Fuel accounted for 27% of operating costs last year, and those costs move closely in line with oil prices

Annual brent prices in $ per barrel and share of fuel costs in total costs for airlines per year (global average)



Source: IATA, ING Research

The impact of this will be uneven, though, and it varies with the extent to which carriers hedged future fuel price rises. This dampens the impact of fuel price volatility in the short term. Several European flag carriers hedge their fuel bills, but it depends on the company s strategy. Air France KLM and Lufthansa fixed fuel costs at 62% and 90%, respectively, at the end of 2025. European low-cost carriers, including Easyjet (80%) Ryanair (around 80%), and Wizz Air (83%) also have high hedge ratios and will largely be shielded from impact as they operate within Europe. Instead, large US carriers American Airlines, Delta Air Lines and United Airlines, usually don t hedge, while Asian carriers also have less conservative policies for managing fuel costs. For US carriers, it means they bear less fallout, but still feel the impact of higher fuel prices.

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Disclaimer

War in the Middle East – implications for markets and macro

From cautious optimism on Friday to full-scale US and Israeli strikes by Saturday morning and uncertainty about what s next, military action in the Middle East has the potential to reshape the region – but it could also have significant implications for the global economy and markets

With events in the Middle East still evolving rapidly, two rather abstract scenarios could potentially unfold from here for macro and markets

The coordinated attacks on Iranian military, nuclear, and leadership sites, including the reported killing of Supreme Leader Ayatollah Khamenei, represent a profound shock to Iran's political system and a fundamental rupture in what had still looked, only a few days ago, like an ongoing diplomatic process. A third round of nuclear talks in Geneva had just concluded with the Omani mediator reporting "significant progress". Washington apparently disagreed.

The stated US objective has evolved well beyond nuclear containment. US President Donald Trump's direct address to the Iranian people, "take over your government, it will be yours to take", alongside Israeli Prime Minister Benjamin Netanyahu's framing of "removing an existential threat," makes regime change the explicit goal. That is a significant, legally contested, and historically dangerous step. Middle Eastern history offers little encouragement for the proposition that civilian populations seize orderly control once leadership structures collapse. Power vacuums tend to produce civil war, hardline consolidation, or prolonged fragmentation; sometimes all three.

Contrary to the attacks on Iran last summer, Tehran didn't wait long with its response. Firing back within four hours, hitting Israel, US bases in Bahrain, Kuwait, and Qatar, and civilian infrastructure across the Gulf, shows contingency plans were already on the shelf.

Needless to say, this remains a fast-moving environment. From a market perspective, two rather abstract general scenarios could evolve from here.

Two general scenarios that matter for markets

From here, the possible military and geopolitical scenarios could fill a book and also seem to change by the day. For financial markets, the branching point is simpler and more brutal: does this end in days, or does it become a forever war that involves an entire region?

Scenario 1: Four to seven days, then internal Iranian uncertainty

US and Israeli strikes exhaust fixed military targets quickly, operational tempo drops, and a de facto ceasefire emerges within the week. Iranian retaliation stays bound, damaging enough to be politically useful domestically, but not enough to draw a decisive US counter-escalation. The Strait of Hormuz sees harassment but no serious disruption, partly because Tehran's own oil exports to China depend on it. The regime either survives in weakened form or fractures into a messy internal transition.

For markets, this is the June 2025 playbook: an initial oil spike, which fades as Hormuz disruption fears ease. A temporary war risk premium, with no lasting macro implications.

Scenario 2: Iranian retaliation forces Trump's hand – the forever war

President Trump already said on Sunday evening that the war could last up to four or five weeks. Iranian retaliation, which has hit 10 countries so far, does not point to any imminent de-escalation. In this more severe scenario, strikes continue past fixed military targets into infrastructure and mobile assets, lowering operational tempo but extending the timeline indefinitely. Iran, backed into a corner with regime survival in question, escalates asymmetric economic warfare with sustained harassment of tanker traffic, activation of Houthi attacks on Red Sea shipping, and attempts to disrupt the Strait of Hormuz.

Even partial disruption to a chokepoint handling 20 million barrels per day of oil and over 100 bcm of LNG annually produces a supply shock of historic proportions. The whole region becomes unstable. The market implications are materially different: oil moving toward $100 and beyond, a genuine equity market correction, a flight to bonds that holds rather than reverses, prolonged supply chain disruption for both China and Europe, and a central bank dilemma that has no clear answer.

How to think about implications for the global economy

1 Global trade: A supply shock at the worst possible moment

The Iran war lands on a global trading system that had already been under stress from Trump's tariff offensive and the lingering fragmentation of supply chains since Covid and the war in Ukraine. The Strait of Hormuz is the single most important chokepoint in global energy trade, and it now sits in an active warzone.

Even without a formal blockade, the commercial consequences are already unfolding: insurers are cancelling cover, shipping premiums are spiking, and vessels are re-routing or pausing transits. The knock-on effects extend well beyond energy. Gulf airspace closures are disrupting aviation corridors between Europe and Asia. Houthi reactivation in the Red Sea would close the alternative routing valve that kept goods moving during earlier episodes of Hormuz tension.

In a prolonged conflict, the combination of higher energy costs, disrupted logistics, and a generalised confidence shock would constitute a meaningful drag on global trade volumes at precisely the moment the world economy was still digesting the inflationary and growth consequences of the tariff shock. The mother of all bad timings.

2 The US: Fighting a war that raises domestic prices

For the US, even though the trade exposure to the Straits of Hormuz is limited, higher global oil prices would fuel the current cost-of-living crisis. US consumers are already stretched, and gasoline prices are acutely politically sensitive going into midterm territory. Higher oil prices would also complicate the Federal Reserve s future monetary policy path.

A second supply-side inflation shock, while the inflationary impact from tariffs is still unfolding, could make further r ate cuts hard to justify, at least in the nearer term. At the same time, if the conflict drags and uncertainty weighs on business investment and consumer confidence, the growth outlook darkens too.

The one partial offset is that the US itself is a major oil producer; higher oil prices benefit the shale patch and improve the terms of trade for domestic energy, even as they hurt consumers. But that balance is politically awkward to explain and economically insufficient to compensate for the broader damage.

3 The eurozone: The most exposed major economy

Europe is where the macro consequences hit hardest, and the timing could not be worse. The eurozone was finally emerging from its long period of stagnation, with tentative green shoots of recovery emerging – though recently, these have been undermined by new uncertainty regarding tariffs. Now the region could face an energy shock on top of a trade shock.

Europe imports essentially all of its oil and a significant share of its LNG. A surge in energy prices and potentially even energy supply disruption could bring back memories of the energy cost crisis from late 2021 to 2023. There are currently two important differences compared with the situation back then: Europe doesn t have to derisk from a single important energy provider; and the oil price crisis comes at the end of the winter, not the start.

The European Central Bank is caught in a genuine dilemma. Services inflation is still sticky, and an oil shock would push headline inflation higher – yet the growth outlook is simultaneously deteriorating under the combined weight of tariffs, uncertainty, and now energy costs. Back in December, an ECB analysis showed that a 14% increase in oil prices would push up inflation by 0.5ppt and could reduce GDP growth by 0.1ppt. However, this would only be the price effect, not the supply chain disruption effect. Given the still relatively fresh memories of the recent inflation surge, the ECB is unlikely to see any new oil price-driven inflation spike as transitory or even deflationary. However, to see a rate hike, the eurozone economy would have to show clear resilience.

4 Asia: Inflation and trade balances could come under strain

For now, Asia seems to be able to absorb the jump in oil prices, thanks to the low starting points with inflation broadly in control in most of Asia. However, the severity and persistence of higher prices will ultimately determine the impact. If sustained, Asia is particularly vulnerable to oil price volatility because it relies so heavily on imports; except for Australia, Malaysia and Indonesia, all other economies run deficits in oil and gas trade, leaving them exposed when energy costs rise. If higher prices persist, three factors will shape the impact:

- **Heavy dependence on Middle Eastern oil**: A significant share of Asia's crude supply comes from the Persian Gulf. Japan and the Philippines rely on the region for almost 90% of their oil needs, while China and India import roughly 38% and 46% respectively. Any disruption in the Strait of Hormuz – a critical shipping lane – would restrict supply, potentially causing shortages that slow business activity and put pressure on manufacturing across Asia.
- **Trade balances under strain**: Even without a physical supply disruption, higher global oil prices worsen trade balances and add to inflation pressures. Thailand, Korea, Vietnam, Taiwan, and the Philippines are the most exposed. A mere 10% rise in oil prices can deteriorate current account balances by 40-60 basis points. Prolonged increases would only deepen these deficits.
- **Strong inflation pass through**: Because many emerging Asian economies have a relatively high weight of energy in their consumer inflation baskets, rising oil prices feed quickly into headline inflation. On average, a 10% increase in oil prices raises CPI inflation by about 0.2 percentage points.

Our base case had headline inflation across most of Asia rising in 2026 but still staying within most central bank targets. But a price shock of this magnitude – if it lasts – would likely push inflation above target ranges and increase the pressure on central banks to tighten policy sooner rather than later.

What the two scenarios would mean for financial markets and the global economy

In **Scenario 1**, the macro story is noise. A temporary oil spike, some safe-haven positioning, and back to the existing agenda of tariffs, growth differentials, and AI.

In **Scenario 2**, the channels are oil, uncertainty, and the impossible central bank dilemma these create together. In this scenario, oil prices could run toward $100-140. For European gas, if LNG markets start pricing in extended losses to Qatari supply, TTF could spike toward €80-100/MWh. Sustained high oil prices could meaningfully delay monetary policy easing. Even though an oil price shock could also be seen as deflationary, the recent inflation period will prevent most central banks from reacting with monetary policy easing to a new oil price shock.

The initial safe-haven reflex is clear.
Treasuries and Bund yields would move down, gold would increase, as we saw both this morning and as early as Friday, when markets started to anticipate military action. The safe-haven reflex fades if oil stays elevated and inflation re-accelerates.

On FX, investors will be contemplating a re-run of the March 2022 playbook, where US energy independence saw the dollar rally broadly against the fossil fuel importing currencies of Europe and Asia. The Fed's broad trade-weighted dollar rallied 10%+ over a six-month period, where crude prices stayed elevated for a quarter, but European natural gas prices stayed sky-high for nearly six months.

Expect both the euro and the yen to come under sustained pressure from a prolonged spike in crude prices, while we could see some exceptionally sharp reversals in EM currencies involved in the carry trade. In Europe, that would leave the Hungarian forint as one of the most vulnerable, while there would also be much scrutiny on whether Turkish policymakers could manage outflows from the crowded lira carry trade. But in short, this year's virtuous circle of flows out of the dollar and into EM could reverse and turn vicious.

How the current energy supply risks compare to 2022

For oil and gas markets, there will likely be some parallels made with 2022 and Russia's invasion of Ukraine. The oil supply at risk from a successful blockade of the Strait of Hormuz is roughly 15-20% of global supply, depending on much supply the Saudis can divert by pipeline to the Red Sea. This is significantly higher than the 7-8m b/d of Russian oil supply (which is around 7-8% of global supply) that was at risk during the early days of the Russia-Ukraine war, when we saw Brent spike to almost $140/bbl.

However, helping to a certain degree at the moment is that oil inventories are more comfortable than they were in the lead up to Russia's invasion of Ukraine. OECD stocks are in the region of 200m barrels higher now versus prior to the Russia/Ukraine war. But still, a two-week full blockade would essentially see this buffer disappear, leaving significant upside to prices.

For natural gas, as much as 125bcm of LNG flows are at risk, which is around 3% of global natural gas consumption, but 22% of global LNG trade. However, the roughly 15bcm that Oman exports will be at less of a risk, given cargoes don't need to navigate the Strait of Hormuz, but will still be in close proximity to danger.

In the lead up to Russia's invasion of Ukraine, close to 160bcm of Russian gas (pipeline and LNG to the EU) was at risk. The market is relatively better positioned now, given the build up of LNG export capacity, largely from the US. Since the beginning of 2025 we have seen around 40bcm of US capacity starting up, while a further 14bcm is set to start this year, and there will be significantly more in the years ahead. However, in the immediate term, capacity additions fall well short of potential Persian Gulf supply losses.

A tighter market would see Asia and Europe competing more aggressively for LNG cargoes, pushing up prices. Price-sensitive buyers in Asia will likely step back from the market, while Europe would likely not make the same mistake as it did in 2022, where buyers bought aggressively regardless of price levels.

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Asia's outlook under higher oil prices

Heavy dependence on Middle Eastern oil leaves Asia vulnerable to sustained supply shocks. While inflation risks remain largely manageable at the moment given a low starting point, higher import bills will result in weaker trade balances with some currencies like PHP, THB, INR and KRW more vulnerable

Higher energy prices will weaken trade balances in Asia and lead to inflationary pressures

For now, Asia seems able to absorb the recent jump in oil prices. Inflation across much of the region is starting from relatively low levels and has generally been well contained. But the real question is how *high* and how *long* prices stay elevated – because that's what will ultimately determine the economic fallout.

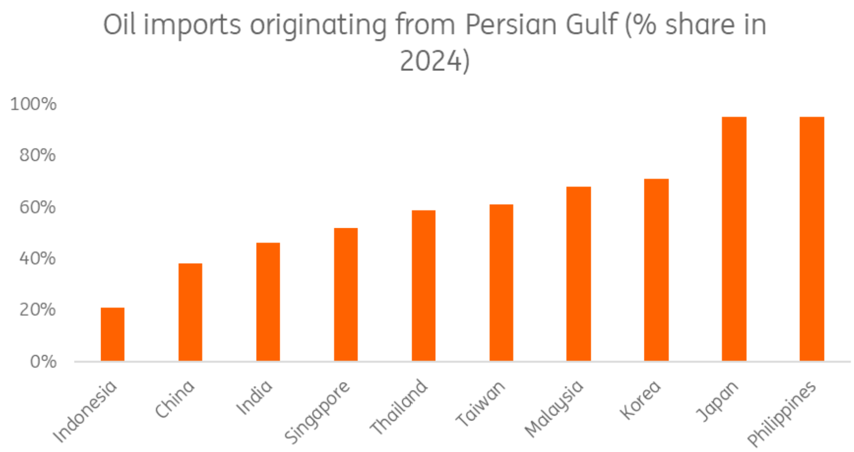
Asia is especially vulnerable to sustained oil price shocks. The region relies heavily on imported energy: apart from Malaysia and Australia, every major economy runs a sustained deficit in oil and gas trade, leaving them exposed when global prices surge. If higher prices persist, three factors will shape the impact.

Heavy dependence on Middle Eastern oil

A significant share of Asia's crude supply comes from the Persian Gulf. Japan and the Philippines rely on the region for almost 90% of their oil needs, while China and India import roughly 38% and

46% respectively. Any disruption in the Strait of Hormuz – a critical shipping lane – would restrict supply, potentially causing shortages that slow business activity and put pressure on manufacturing across Asia.

Over 90% of Japan and Philippines' oil imports come from the Middle East



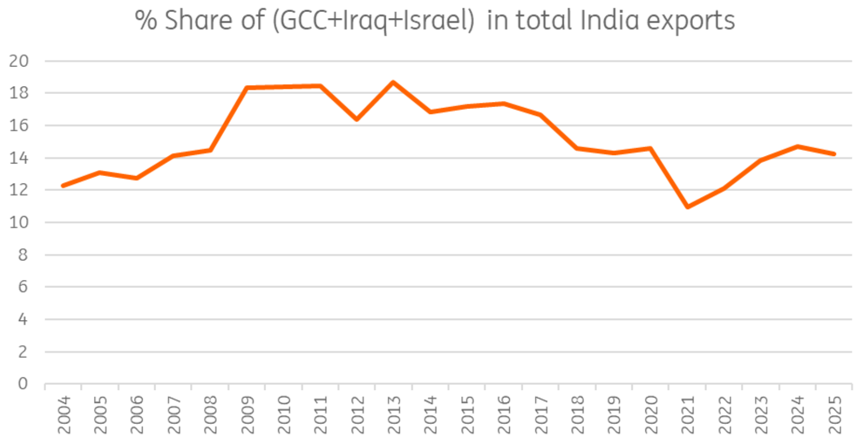
Source: United Nations, WTO

A double-edged sword for trade

Even without a physical supply disruption, higher global oil prices worsen trade balances and add to inflation pressures. Thailand, Korea, Vietnam, Taiwan, and the Philippines are the most exposed. A mere 10% rise in oil prices can deteriorate current account balances by 40–60 basis points. Prolonged increases would only deepen these deficits. The key beneficiary should be Australia, the only large exporter of oil and gas in the region.

It's not just the higher oil import bill that hurts – some Asian economies could also see their export growth take a hit. In recent years, many Asian exporters have been actively diversifying away from the US market because of rising US tariffs, and the Middle East has emerged as an important alternative growth destination. That makes the region's recent instability especially concerning. India is the most exposed to the Middle East-driven export demand, with China following closely behind. Any prolonged disruption in the region risks slowing this new export channel just as it was starting to gain momentum.

GCC export disruptions add another risk to Asia's trade balances

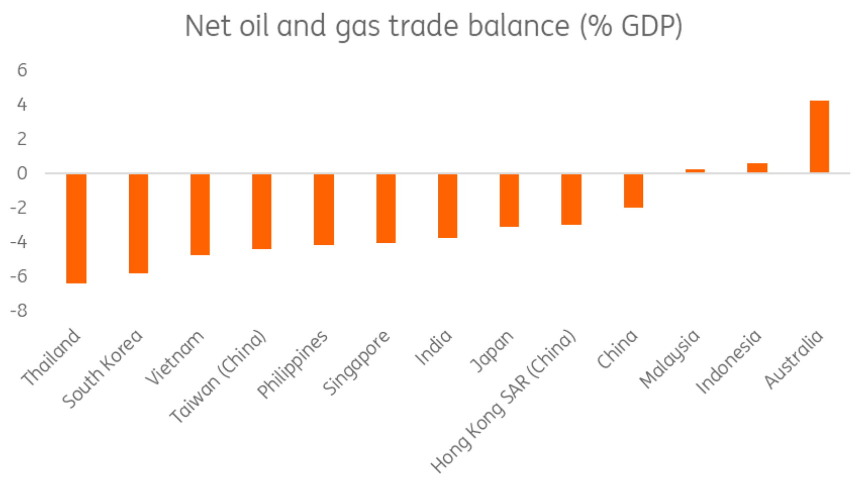


Source: CEIC

Weaker trade balances will put renewed pressure on Asian currencies

Even a short-lived jump in oil prices can have an outsized impact on FX markets. Recall how the less than two-week oil price spike in June 2025 was enough to pull down the PHP, KRW, THB, and JPY by roughly 1.5–3%, despite the brief nature of the conflict. While inflation didn't move much then because the conflict was so brief, a more prolonged period of elevated oil prices would be a very different story. A prolonged conflict, coupled with continued currency weakness, would feed more directly into inflation pressures across the region. And with Asia's heavy reliance on imported energy, currencies like the Thai baht, Korean won, Philippine peso, and Indian rupee remain particularly vulnerable to swings in oil prices and sustained deterioration in trade balances.

Asia runs large energy trade deficits



Source: United Nations, WTO

Strong inflation pass-through is possible – but fiscal cushions can help

Because energy makes up a relatively large share of consumer inflation baskets across emerging Asia, higher oil prices can, in theory, push headline inflation up quickly, especially as higher fuel costs often drive food prices higher too. Emerging Asia has 25-45% of its CPI baskets driven by food. That's why the most exposed economies, like India and the Philippines, are particularly vulnerable, where a 10% jump in oil prices could raise inflation by as much as 0.4 percentage points.

That said, the impact is far from uniform across the region. Several economies like Indonesia, Thailand and India are still partially shielded by fuel subsidies or regulated pricing, which dampens the direct pass through from global oil markets. On the other hand**,** the Philippines – also the worst impacted by higher oil prices – tends to see a stronger inflation hit because retail fuel prices are more market-driven and subsidies are limited.

Our base case had inflation across Asia rising but still staying within most central bank targets. But a price shock of this magnitude – if it lasts – coupled with currency depreciation could push inflation, for example, in the Philippines to the upper end of Bangko Sentral ng Pilipinas s 2-4% inflation target, increasing the pressure on the central bank to hold rates instead of cutting further. Countries like Indonesia and India, which benefit from fuel subsidies, should still retain some room to ease, though the probability of further cuts would be lower.

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Middle East escalation leaves significant upside for oil and gas markets

Oil markets are set to open significantly higher following US and Israeli attacks on Iran. How sustained any spikes are depends on how long attacks persist. Global LNG markets are also facing significant supply risks due to this weekend's action

Oil prices look set to open higher following US and Israeli action on Iran over the weekend

US strikes come sooner than expected, while Iran responds aggressively

While action taken by the US and Israel against Iran this weekend may not be a complete surprise, the timing is, given that the US and Iran were due for another round of nuclear talks. Therefore, there was still a glimmer of hope that a diplomatic solution could be found. This is clearly not the case.

The attacks on Iran have also made it clear what US ambitions are. It is not purely about ensuring that Iran doesn t have the ability to produce nuclear weapons, but also to push for regime change. This was clear in President Trump's speech urging Iranians to take over their government and that it will be theirs to take. Meanwhile, the successful targeting of Iran's Supreme Leader Ali Khamenei only reinforces this view.

However, actual regime change is easier said than done, particularly when the US and Israel have no ground presence. This makes any shift in power more difficult, while also meaning that any potential transition could be very messy if led by Iranian civilians, as President Trump has called for.

While it is still very early days and the situation is developing at a fast pace, it does not appear that this military action will be quick and short-lived, like seen in June 2025. Israel has said that action will take as long as needed.

There has also been a strong response from Iran, targeting Israel, US bases across the region and civilian infrastructure in some neighbouring Gulf states. The strong response from Iran highlights that the regime is essentially fighting for survival, while attacks on neighbouring countries could be an attempt by Iran to get these Gulf countries to put pressure on the US to end its strikes.

Energy markets face significant supply risks

It appears that we are moving towards our third potential scenario that we published last week, where we see prolonged military action and an aggressive response from Iran.

For energy markets, we expect an aggressive price response when markets open. ICE Brent could trade into the region of $80-90/bbl immediately, with risks for further strength towards $100/bbl and ultimately $140/bbl (worst-case scenario), if we are to see significant and extended oil supply disruptions.

Meanwhile, European gas and Asian LNG prices could potentially see relatively more aggressive moves, given the risks to Qatari LNG flows and the market being relatively tighter. If LNG/gas markets start to price in an extended period of losses to Qatari LNG supply, TTF could potentially spike to EUR 80-100/MWh ($28-35/MMBtu).

In terms of potential impact, there have already been unconfirmed reports of strikes on Iran's Kharg Island, where basically all of Iran's oil is exported from. This would be in the region of 1.5m b/d of oil, which goes predominantly to China.

Meanwhile, for gas markets, as a precaution, Israel has temporarily shut its Leviathan and Karish gas fields, which produce roughly 17bcm per year.

But most importantly, Iran has also reportedly announced the closure of the Strait of Hormuz. This is a key choke point for global energy markets, with 20m b/d of oil and more than a 100bcm of LNG per year moving through it, which is around 20% of global LNG trade. However, it would be difficult to enforce a closure and any attempts to do so would likely see a strong response from the US.

Vessels are becoming increasingly reluctant to navigate the strait given the risks and the longer this reluctance persists, the more of an impact it will have on oil and gas markets.

If needed, there is the potential to divert some oil flows via pipeline, which would reduce the oil supply at risk to around 15m b/d (9m b/d of crude oil and 6m b/d of refined product). Saudi Arabia is able to pipe some oil to its west coast and ship from the Red Sea. However, this supply could still face disruptions if the Houthis in Yemen, who are backed by Iran, start to attack tankers moving southbound through the Red Sea.

The move would not be isolated to crude oil prices, as refined product cracks could also see strength. In the region of 6m b/d of refined products flows through the strait, which would be at risk, while disruptions to crude oil flows would also have an impact on refinery runs elsewhere, particularly in Asia, where the bulk of energy flows.

Any blockade will see plenty of pressure from other governments, particularly in Asia, to allow shipments through the choke point. Asia has a significant exposure to energy supplies from the Persian Gulf. 84% of oil and 83% of LNG that passes through the Strait of Hormuz ends up in Asia, with China the key market.

How could energy markets deal with any supply disruptions?

If the market sees significant oil supply disruptions, the quickest action we are likely to see from governments is a coordinated release of oil from strategic petroleum reserves (SPR). There will be plenty of focus on the US SPR, which is about 35% smaller than what it was at the start of 2021, given it was used heavily following Russia's invasion of Ukraine in 2022. However, at roughly 415m barrels, there is room for further emergency releases to take some pressure off the market. Clearly, releases from reserves can only offer temporary relief.

OPEC+ could also potentially help through supply increases. The group agreed on a larger-than-expected supply increase of 206k b/d for April at its meeting on 1 March, more than the 137k b/d expected. However, if we do see sizeable supply disruptions due to this conflict, this supply is not going to move the needle much. In addition, a key issue is that the bulk of OPEC spare capacity sits in the Persian Gulf. Therefore, if there are blockades in the Strait of Hormuz, this additional supply will be of less help to the market.

Higher prices will also see a supply response. And given its shorter lead time, the market will be focused on any supply response from the US shale industry. However, this will not be immediate, with it taking 6-12 months to bring additional supply onto the market.

For the global LNG market, it would also be difficult to deal with disruptions. The market is coming out of a period of tightness and while there is plenty of US LNG export capacity which is scheduled to start up in the coming years, including some capacity this year, it will be too little and too late to offset the volumes at risk from Qatar and the UAE. Instead, higher prices will need to persist in an attempt to try to balance the market through demand destruction.

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